70

PER CENT

The share of APIs India imported from China in 2019, as compared to 1 per cent in 1991, according to PwC

₹6,490

CRORE

Total outlay for production-linked incentives being offered to companies that invest in critical key starting materials (KSMs) for APIs



Illustration by NILANJAN DAS/ AI



"In critical requirements, we don't want to be dependent on imports. API manufacturing in India will give a boost to the Aatmanirbhar Bharat vision by reducing dependence on the key raw materials used in medicines"

– MANSUKH MANDAVIYA
Union health minister

WHAT INDIA NEEDS TO MASTER

One of the foremost challenges for India remains reducing its dependence on a single source country—that it's China turns what was already bad in theory a bit more ominous. Diversifying imports in the near future must thus be a priority to prevent the risk of shortages in disruptive situations. "The pandemic showed us that we can't be reliant on other countries for producing key drugs. This not only makes the final product costlier but can also cause supply-chain issues, as was seen during the Covid-19 pandemic," says Dr V.K. Paul, member of NITI Aayog.

Secondly, India will not only have to scale up its investment in both R&D and manufacturing, but also look at cost-effective production. At present, according to a Technology Information, Forecasting & Assessment Council (TIFAC) report, it is estimated that the cost of APIs produced in India will be about 20 per cent more than those produced in China if we try to scale up to those levels. Such gaps will need policy interventions from the government. Finally, while all this is done, India must seek to enforce a strong IPR (intellectual property rights) regime to foster innovation and create a synergy between government and private players for smooth technology-sharing.

The challenge for the country, therefore, is now no more one of initiative, but of momentum. ■

DR REDDY'S

- Dr Reddy's has over 170 APIs on offer and exports to over 80 countries
- It's among the four pharmaceutical firms in India to have already received the first payment under the PLI scheme for the domestic manufacturing of APIs
- Its APIs are manufactured at eight USFDA-inspected plants, including two abroad